Morgan Stanley | RESEARCH

IDEA

July 7, 2026 04:00 AM GMT

ASML Holding NV | Europe

The Catalyst Path Ahead

WHAT'S CHANGED		
ASML Holding NV (ASML.AS)	From	To
Price Target	€1,660.00	**€1,830.00**

We see 3 key debates in focus this summer: capacity, FY28 WFE and pricing power. ASML prints 2Q26 results Wednesday 15th July 2026. We expect broadly in-line quarterly numbers but note the potential for a guidance uptick.

Key Takeaways

- We expect 3 debates to dominate investor focus this summer: capacity growth, FY28 WFE and pricing power.
- Given the above, we think of ASML as a 'catch up' trade over the summer.
- We lift our FY26 and FY27 EUV sales estimates (incl High NA) to 75 and 92 respectively, prior 69 and 90.
- We raise our price target to €1,830 (prior €1,660) and retain Top Pick and Overweight rating.

Expect in-line numbers this quarter, but potential for guidance uptick. We think the company could talk to robust DRAM demand and memory LTAs providing order book stability (vs typical lumpiness). Although we don't expect a surprise to the quarterly numbers, we think resilient memory demand, especially with Korean DRAM makers, will lead the company to raise its FY26 revenue and margin guide (currently €36-40bn, c.52%). Elsewhere, while ASML doesn't disclose the quarterly order book anymore, we expect the company to signal initial customer ordering for FY28 and momentum for this into the rest of this year. For FY27, our sense is that the order book hasn't yet reached over 80 low NA EUV tools although again momentum here will be signalled and ultimately we expect the company to deliver c.86 low NA systems and 90+ including High NA.

Risks to become catalysts - 3 debates in focus this summer. While ASML is up c.75% YTD, the stock has underperformed US semi-cap equipment stocks such as KLA and Lam Research (covered by Shane Brett) as concerns on capacity have overshadowed earnings potential. However, our investor discussions suggest that sentiment is shifting with many beginning to acknowledge the valuation discount.

We think there are 3 debates in focus over the summer:

(i) Capacity confirmation. At the next print we expect management to signal ability to meet demand for a run rate of c.90 Low NA EUV tools next year. Further, at the April AGM the company spoke to beginning construction of the Brainport Industries Campus in 3Q26 (see our note *Capacity Concerns Overdone*). We expect the 'first phase' of this capacity build to be complete by as early as the end of FY28 allowing the company to meet customer demand for perhaps as many as c.110 Low NA EUV

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ASML Holding NV (ASML.AS, ASML NA)
Top Pick

ADRASML.O

Technology - European Semiconductors | Netherlands

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	**€1,830.00**
Shr price, close (Jul 6, 2026)	€1,628.40
52-Week Range	€1,741.00-587.80
Mkt cap, curr (mn)	€647,493
Net debt (12/26e) (mn)*	€(2,443)
EV, curr (mn)*	€638,562

* = GAAP or approximated based on GAAP

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Sales / Revenue (€mn)**	32,667	39,399	49,429	53,500
EBITDA (€mn)**	12,367	15,423	21,944	23,805
EBIT (€mn)**	11,341	14,384	20,757	22,521
EPS (€)**	24.81	32.00	47.38	52.19
Prior EPS (€)**	-	30.54	46.71	51.92
ModelWare EPS (€)	24.81	32.00	47.38	52.19
P/E**	37.1	50.9	34.4	31.2
EV/revenue*	10.7	16.4	12.9	11.7
EV/EBITDA**	28.3	41.8	29.2	26.3
EV/EBIT**	30.8	44.8	30.8	27.8
DPS (€)	6.57	9.70	9.70	9.70
Div yld (%)	0.7	0.6	0.6	0.6
FCF yld ratio (%)**	3.1	1.1	1.9	3.6
RNOA (%)**	108.8	138.1	98.7	81.2
ROE (%)**	52.2	63.6	76.6	55.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
* = GAAP or approximated based on GAAP
** = Based on consensus methodology
e = Morgan Stanley Research estimates

tools. We think the market is looking for updated commentary on capacity expansion plans - either on the main call or on the NDR circuit - with potential that management could outline a roadmap to meeting growing demand.

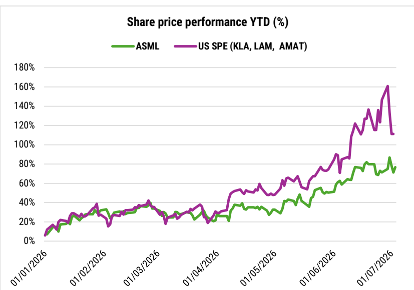
(ii) 2028 WFE. We expect demand from China memory makers such as CXMT and YMTC to hit the order book before the end of FY26 with shipments to grow from FY27. We think this gives scope for upside to our DUV numbers. Looking to '27 and '28 we note with interest the Huawei and SMIC announcement of the use of chip folding (form of Tau scaling). This is suggestive of DUV intensity and gives us reason to believe that FY28 could be a growth year for China sales.

(iii) Future pricing power could drive margins higher. The acceleration of the ASML roadmap for EUV laser power **could** offer better pricing power for the company in time. We see the EUV story becoming less about throughput gain and more about maximising *productivity*. Allied to this is the possibility of **broadening foundry partnerships.** Market interest in ASML's expanding partnerships is clear. We flag that the development of new foundries such as Terafab could create opportunities for new price negotiations. In turn we think pricing could be a part of the gross margin expansion through to the end of the decade.

Raising our EUV estimates. We lift our FY26 and FY27 estimates to 75 and 92 respectively, prior 69 and 90, as we gain greater confidence in the near term roadmap of key customers. In particular we see SK Hynix as a more material component of EUV sales, ramping from our estimate of 3 tools last quarter to 6 this quarter. In turn we see sales this quarter coming in at €9bn (prior €8.3bn) and FY26 sales at €39.4bn (prior €37.7bn).

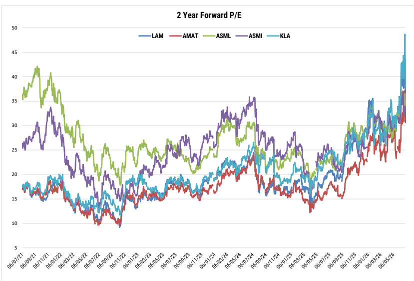
We remain OW ASML (Top Pick), PT €1,830. Given the strength of order book demand and the earnings growth engendered, we move to value ASML at the top end of our P/E multiple range of 30-35x (2-year forward). We note upside potential from significant foundry capex, a potential growing number of customers in foundry as well as continued memory pricing power. Given our €52.19 FY28 EPSe, we raise our PT to €1,830 (vs. €1,660 prior).

Exhibit 1: ASML has underperformed US Semi-Cap by 34% YTD



Source: FactSet, Morgan Stanley Research

Exhibit 2: ASML currently trades below both KLA and LAM's 2 yr forward P/E



Source: Bloomberg, Morgan Stanley Research

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
ASML Holding NV ASML.AS		
Order Intake Commentary and FY guidance	↑ Likely upside surprise	– Largely unchanged

• We expect broadly in-line quarterly numbers but note potential for a guidance uptick.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

2Q26 Preview

What we heard last quarter

At the last print management spoke to expecting Q2 net sales to come in at €8.7bn at the midpoint, with installed base management (IBM) sales at c.€2.5bn. The company spoke to sales skewed more to 2H26, guiding FY26 revenues to €36-40bn. Herein EUV demand was singled out as being a significant lever for group sales growth (up 16-17% at mid-point of guide) driven by advanced logic and DRAM. DUV growth meantime is still expected to be hampered by slowing China sales (unchanged). Management spoke to expecting IBM growth driven by an expanding EUV installed base as well as some ongoing customer demand for performance upgrades. Looking to margins, management expects this to come in at 51-52% for Q2 before targeting 51-53% for the FY.

Our estimates vs consensus

We see Q2 sales coming in at €9bn, c.3% ahead of consensus and marginally above the guide (€8.4-8.9bn). Looking to margins we expect the GM% to sit at 51.9%, at the upper end of the guide (51-52%) and in-line with consensus. This takes our bottom line EPS to €7.15, 5% ahead of consensus.

Exhibit 3: ASML MSe vs Consensus

	2Q26e			3Q26e		
	MSe	Cons	MSe vs Cons.	MSe	Cons	MSe vs. Cons
System Sales	6,560	6,304	*4%*	8,390	7,830	*7%*
IBM Sales	2,469	2,494	*-1%*	2,213	2,434	*-9%*
Total Net Sales	**9,029**	**8,798**	***3%***	**10,603**	**10,320**	***3%***
Gross profit	4,684	4,574	*2%*	5,491	5,380	*2%*
Gross margin (%)	51.9%	52.0%	*-11bps*	51.8%	52.1%	*-35bps*
Operating income	3,171	3,049	*4%*	3,926	3,812	*3%*
EPS (Diluted)	7.15	6.82	*5%*	8.62	8.50	*1%*

	FY26e			FY27e		
	MSe	Cons	MSe vs. Cons	MSe	Cons	MSe vs. Cons
System Sales	30,102	29,603	*2%*	38,779	38,062	*2%*
IBM Sales	9,297	9,833	*-5%*	10,650	10,982	*-3%*
Total Net Sales	**39,399**	**39,452**	***0%***	**49,429**	**49,156**	***1%***
Gross profit	20,564	20,692	*-1%*	27,169	26,599	*2%*
Gross margin (%)	52.2%	52.4%	*-26bps*	55.0%	54.1%	*85bps*
Operating income	14,384	14,402	*0%*	20,757	19,687	*5%*
EPS (Diluted)	32.00	32.15	*0%*	47.38	44.08	*7%*

Source: Morgan Stanley Research estimates, Visible Alpha Consensus as of 06/07/2026

Exhibit 4: ASML Annual Income Statement

Annual Income Statement	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Revenues	**9,053**	**10,944**	**11,820**	**13,978**	**18,611**	**21,173**	**27,559**	**28,263**	**32,667**	**39,399**	**49,429**	**53,500**
Cost of goods Sold	-4,976	-5,915	-6,540	-7,181	-8,802	-10,473	-13,422	-13,771	-15,370	-18,835	-22,260	-24,327
Gross profit	**4,077**	**5,029**	**5,280**	**6,797**	**9,809**	**10,700**	**14,136**	**14,492**	**17,297**	**20,564**	**27,169**	**29,173**
R&D	-1,260	-1,576	-1,969	-2,201	-2,547	-3,254	-3,981	-4,304	-4,699	-4,906	-5,100	-5,301
SG&A	-417	-488	-521	-545	-726	-946	-1,113	-1,166	-1,258	-1,274	-1,312	-1,351
Other income/(expenses)	96	0	0	0	214	0	0	0	0	0	0	0
EBIT (reported)	**2,496**	**2,965**	**2,791**	**4,051**	**6,750**	**6,501**	**9,042**	**9,023**	**11,341**	**14,384**	**20,757**	**22,521**
EBITDA	2,914	3,388	3,239	4,542	7,221	7,084	9,782	9,941	12,367	15,423	21,944	23,805
Net Financials & other	-50	-28	-25	-35	-45	-45	41	20	105	4	38	243
PBT (reported)	**2,446**	**2,937**	**2,766**	**4,017**	**6,706**	**6,456**	**9,084**	**9,042**	**11,445**	**14,388**	**20,795**	**22,764**
Income Tax	-311	-352	-192	-552	-1,021	-970	-1,436	-1,681	-2,013	-2,412	-3,223	-3,528
Minorities	-17	6	18	89	199	138	191	210	217	330	415	450
Net Income (reported)	**2,119**	**2,592**	**2,592**	**3,554**	**5,883**	**5,624**	**7,839**	**7,572**	**9,648**	**12,305**	**17,987**	**19,686**
EPS (€) - Basic	4.93	6.10	6.16	8.49	14.36	14.14	19.90	19.25	24.85	32.00	47.39	52.20
EPS (€) - Diluted	**4.91**	**6.08**	**6.15**	**8.48**	**14.34**	**14.13**	**19.90**	**19.24**	**24.81**	**32.00**	**47.38**	**52.19**
DPS (€)	1.20	1.41	3.15	2.55	3.34	6.44	5.96	6.24	6.57	9.70	9.70	9.70
	2017	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026e**	**2027e**	**2028e**
Sales growth - yy	33%	21%	8%	18%	33%	14%	30%	3%	16%	21%	25%	8%
Gross margin	45.0%	46.0%	44.7%	48.6%	52.7%	50.5%	51.3%	51.3%	52.9%	52.2%	55.0%	54.5%
EBIT margin (reported)	27.6%	27.1%	23.6%	29.0%	36.3%	30.7%	32.8%	31.9%	34.7%	36.5%	42.0%	42.1%
EBITDA margin	32.2%	31.0%	27.4%	32.5%	38.8%	33.5%	35.5%	35.2%	37.9%	39.1%	44.4%	44.5%
PBT margin	27.0%	26.8%	23.4%	28.7%	36.0%	30.5%	33.0%	32.0%	35.0%	36.5%	42.1%	42.5%
Net margin (reported)	23.4%	23.7%	21.9%	25.4%	31.6%	26.6%	28.4%	26.8%	29.5%	31.2%	36.4%	36.8%
Effective tax rate	13%	12%	7%	14%	15%	15%	16%	19%	18%	17%	16%	16%

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: ASML Quarterly Income Statement

Quarterly Income Statement	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26e	3Q26e	4Q26e	FY26e
Revenues	**7,742**	**7,692**	**7,516**	**9,718**	**32,667**	**8,767**	**9,029**	**10,603**	**11,000**	**39,399**
Cost of goods Sold	-3,562	-3,562	-3,636	-4,610	-15,370	-4,122	-4,345	-5,112	-5,256	-18,835
Gross profit	4,180	4,130	3,880	5,108	17,297	4,645	4,684	5,491	5,744	20,564
R&D	-1,161	-1,167	-1,109	-1,262	-4,699	-1,185	-1,208	-1,244	-1,269	-4,906
SG&A	-281	-299	-303	-375	-1,258	-302	-305	-320	-346	-1,274
Other income/(expenses)	0	0	0	0	0	0	0	0	0	0
EBIT (reported)	2,738	2,664	2,468	3,470	11,341	3,157	3,171	3,926	4,129	14,384
EBITDA	**2,979**	**2,919**	**2,743**	**3,725**	**12,367**	**3,417**	**3,420**	**4,198**	**4,389**	**15,423**
Net Financials & other	49	25	19	11	105	41	34	-28	-43	4
PBT (reported)	2,787	2,689	2,488	3,481	11,445	3,198	3,205	3,899	4,086	14,388
Income Tax	465	487	442	619	2,013	547	529	663	674	2,412
Minorities	33	89	79	16	217	105	75	75	75	330
Net Income (reported)	**2,355**	**2,290**	**2,125**	**2,879**	**9,648**	**2,756**	**2,751**	**3,311**	**3,487**	**12,305**
EPS (€) - Basic	6.00	5.90	5.49	7.47	24.85	7.15	7.15	8.62	9.09	32.00
EPS (€) - Diluted	**6.00**	**5.90**	**5.48**	**7.44**	**24.81**	**7.15**	**7.15**	**8.62**	**9.09**	**32.00**
DPS (€)	1.52	1.84	1.60	1.61	6.57	1.60	2.70	2.70	2.70	9.70
	1Q25	**2Q25**	**3Q25**	**4Q25**	**FY25**	**1Q26**	**2Q26e**	**3Q26e**	**4Q26e**	**FY26e**
Sales growth - qq	-16.4%	-0.6%	-2.3%	29.3%	--	-9.8%	3.0%	17.4%	3.8%	--
Gross margin	54.0%	53.7%	51.6%	52.6%	52.9%	53.0%	51.9%	51.8%	52.2%	52.2%
EBIT margin (reported)	35.4%	34.6%	32.8%	35.7%	34.7%	36.0%	35.1%	37.0%	37.5%	36.5%
EBIT margin - Adjusted										
EBITDA margin	38.5%	37.9%	36.5%	38.3%	37.9%	39.0%	37.9%	39.6%	39.9%	39.1%
PBT margin	36.0%	35.0%	33.1%	35.8%	35.0%	36.5%	35.5%	36.8%	37.1%	36.5%
Net margin (reported)	30.4%	29.8%	28.3%	29.6%	29.5%	31.4%	30.5%	31.2%	31.7%	31.2%
Effective tax rate	17%	18%	18%	18%	18%	17%	17%	17%	17%	17%

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: ASML Annual Balance Sheet

Annual Balance Sheet	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Cash & cash equivalents	2,259	3,121	3,532	6,049	6,952	7,268	7,005	12,736	12,916	6,425	11,571	25,949
Financial investments	1,029	913	1,186	1,302	639	108	5	5	406	406	406	406
Trade receivables	1,740	1,498	1,787	1,310	3,028	5,324	4,334	4,478	3,023	6,722	8,925	7,431
Inventories	2,956	3,440	3,809	4,569	5,179	7,200	8,851	10,892	11,429	10,221	13,603	12,839
Financial receivables, net	59	611	565	1,711	1,186	1,357	1,379	83	614	630	630	630
Deferred tax & other current assets	843	948	1,253	988	1,207	1,809	2,820	2,545	1,962	2,195	2,195	2,195
Total current assets	**8,886**	**10,531**	**12,131**	**15,930**	**18,190**	**23,065**	**24,394**	**30,737**	**30,350**	**26,599**	**37,330**	**49,451**
PP&E	1,601	1,590	1,999	2,470	2,983	3,944	5,493	6,847	7,894	9,495	11,017	12,665
Goodwill & Other Intagibles	5,707	5,645	5,646	5,678	5,508	5,398	5,330	5,210	5,129	4,974	4,789	4,585
Equity method investments	982	916	833	821	893	924	920	903	2,143	2,143	2,143	2,143
Financial receivables, net	159	275	421	401	383	0	61	317	13	13	13	13
Deferred tax assets	32	236	445	672	1,099	1,673	1,872	1,941	3,373	3,373	3,373	3,373
Other non-current assets	822	944	1,154	1,296	1,176	1,297	1,888	2,635	1,398	1,398	1,398	1,398
Total non-current assets	**9,303**	**9,606**	**10,499**	**11,337**	**12,041**	**13,236**	**15,564**	**17,852**	**19,951**	**21,397**	**22,735**	**24,178**
Total assets	**18,189**	**20,137**	**22,630**	**27,267**	**30,231**	**36,300**	**39,958**	**48,590**	**50,301**	**47,996**	**60,065**	**73,629**
Short-term debt	25	0	0	15	509	746	0	1,010	1,682	1,682	1,682	1,682
Trade & other payables	837	964	1,062	1,378	2,116	2,565	2,347	3,500	3,522	409	618	1,487
Provisions (Contract liabilities)	1,530	1,729	2,526	3,954	7,935	12,481	11,441	12,571	16,006	10,498	10,498	10,498
Income tax payable	152	188	66	110	302	315	309	283	487	487	487	487
Other current liabilities (incl accrued liabs)	626	911	1,040	1,146	1,436	1,876	2,177	2,687	2,567	4,499	4,499	4,499
Total current liabilities	**3,170**	**3,792**	**4,694**	**6,604**	**12,298**	**17,984**	**16,275**	**20,051**	**24,264**	**17,575**	**17,784**	**18,653**
Long-term debt	3,000	3,027	3,108	4,663	4,075	3,514	4,632	3,677	2,709	2,706	2,706	2,706
Deferred tax liabilities	341	251	234	238	241	267	372	299	183	235	235	235
Provisions (Contract liabilities)	622	1,225	1,760	1,640	3,226	5,270	4,826	5,625	3,366	3,586	3,586	3,586
Other non-current liabilities (incl accrued liabs)	279	202	241	258	251	455	401	460	432	416	416	416
Total non-current liabilities	**4,243**	**4,704**	**5,343**	**6,799**	**7,792**	**9,506**	**10,230**	**10,061**	**6,691**	**6,943**	**6,943**	**6,943**
Total liabilities	**7,413**	**8,496**	**10,037**	**13,402**	**20,090**	**27,490**	**26,505**	**30,113**	**30,954**	**24,518**	**24,727**	**25,596**
Total net assets	**10,776**	**11,641**	**12,592**	**13,865**	**10,141**	**8,811**	**13,452**	**18,477**	**19,346**	**23,478**	**35,338**	**48,034**
Total equity	**10,776**	**11,641**	**12,592**	**13,865**	**10,141**	**8,811**	**13,452**	**18,477**	**19,346**	**23,478**	**35,338**	**48,034**
Net debt:												
Total Debt	-3,025	-3,027	-3,108	-4,678	-4,584	-4,260	-4,632	-4,688	-4,391	-4,388	-4,388	-4,388
Total "Cash"	3,288	4,034	4,718	7,352	7,590	7,376	7,010	12,741	13,322	6,831	11,977	26,355
Net cash/(debt)	**263**	**1,008**	**1,610**	**2,673**	**3,006**	**3,116**	**2,379**	**8,054**	**8,931**	**2,443**	**7,589**	**21,968**

Source: Company data, Morgan Stanley Research estimates

Exhibit 7: ASML Valuation Matrix and Ratio Analysis

Valuation Matrix (€m)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Share Price (€)	**128.7**	**162.7**	**194.4**	**303.2**	**591.3**	**503.8**	**611.3**	**688.0**	**900.0**	**1628.0**	**1628.0**	**1628.0**
Number of Shares (m)	430	425	421	418	410	398	394	393	388	384	380	377
Market Cap (€m) - average	**55,288**	**69,126**	**81,820**	**126,838**	**242,292**	**200,323**	**240,772**	**270,573**	**349,493**	**625,931**	**617,931**	**613,931**
Net debt/(cash) (€m) - average	-263	-1,008	-1,610	-2,673	-3,006	-3,116	-2,379	-8,054	-8,931	-2,443	-7,589	-21,968
Enterprise Value (€m) - average	**55,025**	**68,118**	**80,210**	**124,164**	**239,286**	**197,208**	**238,393**	**262,520**	**340,562**	**623,488**	**610,342**	**591,963**
P/E (x)	26.2	26.8	31.6	35.8	41.2	35.6	30.7	35.8	36.3	50.9	34.4	31.2
P/E FY1 (x)	**21.2**	**26.5**	**22.9**	**21.1**	**41.8**	**25.3**	**31.8**	**27.7**	**28.1**	**34.4**	**31.2**	
Price/book value (x)	5.1	5.9	6.5	9.1	23.9	22.7	17.9	14.6	18.1	26.7	17.5	12.8
Price/FCF (x)	37.9	28.1	34.2	35.0	24.5	27.9	74.1	29.8	31.7	92.6	52.5	28.0
EV/Sales (x)	6.1	6.2	6.8	8.9	12.9	9.3	8.7	9.3	10.4	15.8	12.3	11.1
EV/Sales FY1 (x)	**5.0**	**5.8**	**5.7**	**6.7**	**11.3**	**7.2**	**8.4**	**8.0**	**8.6**	**12.6**	**11.4**	
EV/EBITDA (x)	18.9	20.1	24.8	27.3	33.1	27.8	24.4	26.4	27.5	40.4	27.8	24.9
EV/EBITDA FY1 (x)	**16.2**	**21.0**	**17.7**	**17.2**	**33.8**	**20.2**	**24.0**	**21.2**	**22.1**	**28.4**	**25.6**	
EV/IC (x)	4.9	6.1	6.6	9.8	16.4	10.2	11.0	11.0	14.2	20.1	16.2	16.4
Dividend yield	0.9%	0.9%	1.6%	0.8%	0.6%	1.3%	1.0%	0.9%	0.7%	0.6%	0.6%	0.6%
FCF yield	2.6%	3.6%	2.9%	2.9%	4.1%	3.6%	1.3%	3.4%	3.2%	1.1%	1.9%	3.6%
Per share data (€):												
EPS - Diluted	**4.9**	**6.1**	**6.1**	**8.5**	**14.3**	**14.1**	**19.9**	**19.2**	**24.8**	**32.0**	**47.4**	**52.2**
Dividends per share	1.2	1.4	3.2	2.5	3.3	6.4	6.0	6.2	6.6	9.7	9.7	9.7
FCF per share	3.4	5.8	5.7	8.7	24.2	18.0	8.2	23.1	28.4	17.6	31.0	58.2
Book value per share	25.1	27.4	29.9	33.1	24.7	22.2	34.2	47.0	49.8	61.1	93.1	127.4

Ratio Analysis	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
ROCE	27%	31%	27%	36%	56%	49%	58%	51%	57%	67%	91%	93%
ROIC	19%	23%	21%	28%	39%	29%	35%	31%	39%	39%	47%	53%
ROE	21%	23%	21%	27%	49%	59%	70%	47%	51%	57%	61%	47%
Interest cover (x)	45.2	64.7	69.7	46.3	58.5	46.0	42.4	40.9	40.4	51.7	100.0	108.5
Cash Conversion	1.6	1.1	1.0	1.0	0.7	0.8	1.8	0.9	1.0	1.7	1.5	1.0
Net debt/Equity	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Dividend/FCF	35%	24%	55%	29%	14%	36%	72%	27%	23%	55%	31%	17%
Payout ratio (DPS/EPS)	25%	23%	51%	30%	23%	46%	30%	32%	26%	30%	20%	19%
Capex/Sales	4%	5%	6%	7%	5%	6%	8%	7%	5%	6%	5%	5%
yy growth:												
Sales growth	33.2%	20.9%	8.0%	18.3%	33.1%	13.8%	30.2%	2.6%	15.6%	20.6%	25.5%	8.2%
EBIT growth	50.6%	18.8%	-5.9%	45.2%	66.6%	-3.7%	39.1%	-0.2%	25.7%	26.8%	44.3%	8.5%
EBITDA growth	44.6%	16.3%	-4.4%	40.2%	59.0%	-1.9%	38.1%	1.6%	24.4%	24.7%	42.3%	8.5%
EPS growth	58.7%	23.8%	1.1%	38.0%	69.1%	-1.4%	40.8%	-3.3%	29.0%	29.0%	48.1%	10.2%
FCF growth	22.5%	68.7%	-3.0%	51.7%	173.1%	-27.6%	-54.7%	179.7%	21.4%	-38.7%	74.1%	86.5%
Dividend growth	15.9%	15.6%	122.0%	-19.6%	28.3%	87.1%	-8.3%	4.4%	4.0%	46.2%	-1.3%	-0.6%
Margin structure:												
Gross margin	45.0%	46.0%	44.7%	48.6%	52.7%	50.5%	51.3%	51.3%	52.9%	52.2%	55.0%	54.5%
EBIT margin	27.6%	27.1%	23.6%	29.0%	36.3%	30.7%	32.8%	31.9%	34.7%	36.5%	42.0%	42.1%
EBITDA margin	32.2%	31.0%	27.4%	32.5%	38.8%	33.5%	35.5%	35.2%	37.9%	39.1%	44.4%	44.5%
PBT margin	27.0%	26.8%	23.4%	28.7%	36.0%	30.5%	33.0%	32.0%	35.0%	36.5%	42.1%	42.5%
Net margin	23.4%	23.7%	21.9%	25.4%	31.6%	26.6%	28.4%	26.8%	29.5%	31.2%	36.4%	36.8%

Source: Company data, Morgan Stanley Research

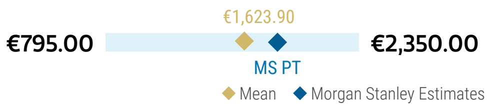
Risk Reward – ASML Holding NV (ASML.AS) Top Pick

Risks and Rewards Balancing Upwards

PRICE TARGET €1,830.00

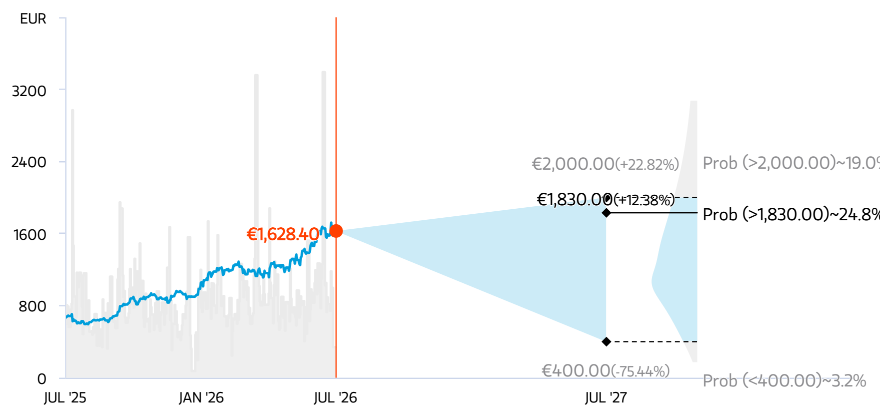
We value ASML at a P/E multiple of 35x, at the upper end of our usual cycle peak valuation range of 30-35x. This is in line with historical peaks, but we note upside potential from significant foundry capex as well as continued rapidly rising memory prices. Applying a 35x P/E multiple to our 52.19 FY28 EPSe gives us a PT €1830.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



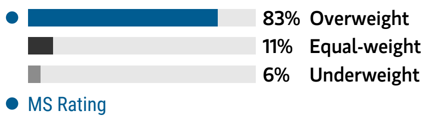
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 6 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- ASML is a dominant supplier of critical toolsets for the semi manufacturing process.
- We expect WFE growth, although we see lithography intensity (share of WFE) flattening over 2024-26, which may cap earnings in the meantime.
- We anticipate consensus earnings revisions as debate shifts to 2026-27 on improving DRAM and logic demand for EUV.
- We anticipate better than expected customer demand for holistic lithography solutions.
- Metrology margins look robust as use of eBeam drives growth and near universal adoption.
- We expect supply chain management to deliver growing GM% across the mid to longer term.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE €2,000.00

DRAM and 2nm/A16 logic rapid growth

c.40x 2027e bull case EPS c.€50: Recovery at leading edge logic foundries leads to a rapid increase in orders with successful technology node transitions requiring broad-based capacity expansions. This is supported by large data centre buildout and big logic capacity build. Limited impact from tariffs and export controls, seamless adoption of High NA and inflationary environment well managed in supply chain. Using estimated c. €50 bull case EPS for 2027, we apply a c.40x P/E to reach €2000.

BASE CASE €1,830.00

Solid DRAM demand and China better than feared

c.35x on 2028e EPS €52.19: We model recovery from the leading foundry customer, solid DRAM (for HBM) and China demand as better than feared. This is in line with historical cycle peaks although this may go a little higher given the significant foundry capex as well as continued soaring memory prices. Risks to estimates include (i) higher than expected immersion demand pull-in (China), (ii) slow EUV order book expansion and/or (iii) push-out of initial High NA sales.

BEAR CASE €400.00

Semi industry downturn results in order cuts

c.20x 2027e bear case EPS c.€20: Equipment market recovery in advanced nodes is modest as the expected demand bounce-back stalls, forcing key customers to keep capex tight, even in strategic spend. ASML witnesses another year of weak industry spend. Earnings grow YoY only on weak sales expansion (after trough 2024) as well as mix effects (low EUV; high DUV and IBM) and some development spend is pulled in (e.g., high NA).

Risk Reward – ASML Holding NV (ASML.AS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Sales growth - yy (€, mn)	0	0	0	0
Gross Margin (GAAP) (€, mn)	1	1	1	1
Operating Margin (GAAP) (€, mn)	0	0	0	0

CATALYST CALENDAR

Date	Event
15 Jul 2026	Q2 2026 ASML Holding NV Earnings Release
15 Jul 2026	Q2 2026 ASML Earnings Call

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- 3/2nm transitions on logic/foundry & 1a/b transition on memory drive demand for tools
- Expand EUV margin to DUV levels (>50%)
- Higher throughput drives: (1) stronger case for use in DRAM; (2) higher service revenue linked to output, not maintenance

GLOBAL REVENUE EXPOSURE

- 0-10% Europe ex UK
- 0-10% Japan
- 10-20% North America
- 20-30% Mainland China
- 50-60% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Meaningful ramp-up in logic/foundry spend with nrs 2 and 3 returning to investment mode
- Higher HBM/DRAM spend than expected
- Servicing margins expanding
- Tech sovereignty programmes crystallising

RISKS TO DOWNSIDE

- Materially weaker end-market demand (foundry / DRAM especially)
- Strong inflation cycle and Chinese weakness driving slowdown and more order push-outs
- Absent High NA adoption (DRAM 2028+) inhibiting multiple

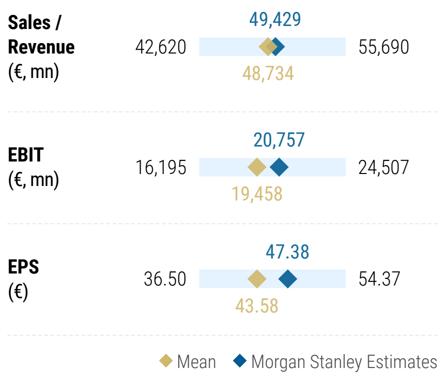
OWNERSHIP POSITIONING

Inst. Owners, % Active	73.4%
HF Sector Long/Short Ratio	2.6x
HF Sector Net Exposure	13.2%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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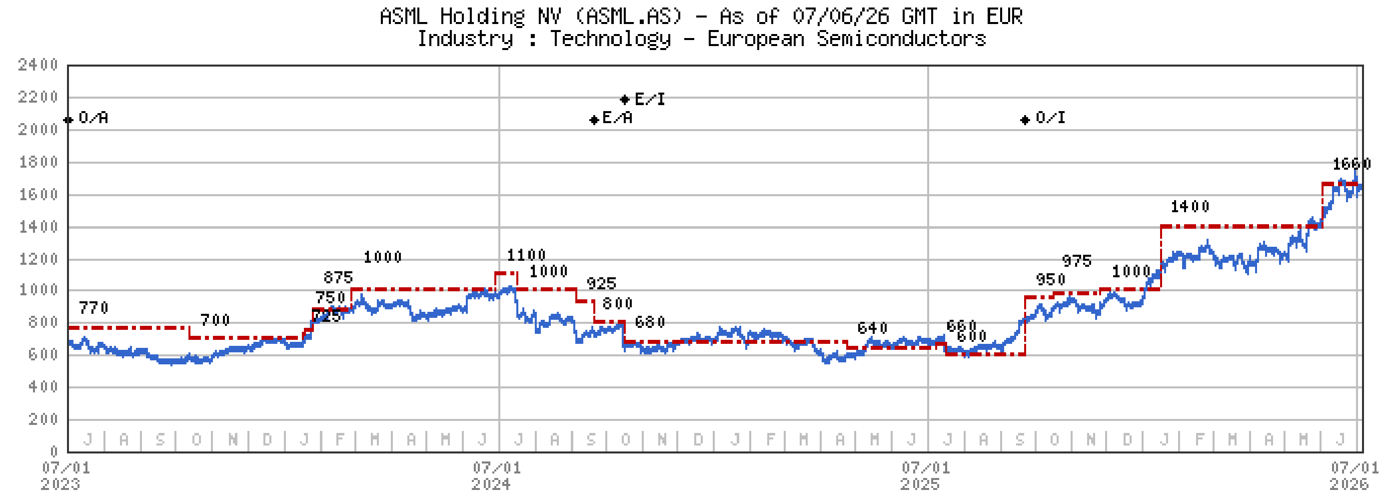
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : O/I; 2/9/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : O/A; 9/20/24 : E/A; 10/17/24 : E/I; 9/22/25 : O/I

Price Target History: 6/18/21 : 680; 7/21/21 : 720; 9/23/21 : 800; 2/9/22 : NA; 11/7/22 : 650; 11/14/22 : 700; 2/13/23 : 770; 10/12/23 : 700; 1/16/24 : 725; 1/19/24 : 750; 1/25/24 : 875; 2/27/24 : 1000; 6/28/24 : 1100; 7/18/24 : 1000; 9/5/24 : 925; 9/20/24 : 800; 10/17/24 : 680; 4/24/25 : 640; 7/9/25 : 660; 7/17/25 : 600; 9/22/25 : 950; 10/16/25 : 975; 11/26/25 : 1000; 1/15/26 : 1400; 6/2/26 : 1660

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Technology - European Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Lee Simpson		
ASML Holding NV (ASML.AS)	O (09/22/2025)	€1,628.40
Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€77.21
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€63.36
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€50.02
ASM International NV (ASMI.AS)	O (06/19/2024)	€964.40
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€258.10
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€79.40
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 182.30
Soitec SA (SOIT.PA)	O (03/26/2026)	€118.40
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 692.80

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* Historical prices are not split adjusted.